

Q#03

What are the different Reason that motivate people to start their own business?

As these employees who go out on their own are aware, owning a small business provides an excellent opportunity to satisfy personal objective while achieving the firm business objective. However those reasons can be summarized as

- (a) Satisfying personal objectives
- (b) Achieving business objective

(a) Satisfying Personal objective :-

The personal objective of owner of small business differ from those of managers of larger firms. Manager of Larger companies tend to seek security, place, power, prestige, high income & benefits. By contrast the primary objectives of small business owners are as follow:-

- Achieve Independence
- Obtain Additional Income
- Help their families

- Provide products not available elsewhere.

● Achieve Independence:-

The new business owner primary motive is usually independence that is freedom from interference or control by superiors. People who operate small firms know they are running a risk when they strike out on their own but they hope to realize their goal of independence.

● Obtain Additional Income:-

Many people start a business to obtain needed income. This need obviously varies with different people in different life stage or situations.

On the other hand owning a business can provide the opportunity to make a great deal of money and to take advantage of certain tax benefits. You should consult your lawyers, tax accountant through to make sure you stay on the right side of tax laws which have been modified to remove many of these benefits.

● **Help their families:-** Small business owners are probably motivated as much by personal and family consideration as by the desire for profit. Student may return home to operate the family business so their parents can retire or take life easy. They may take over the firm on the death of the parent or form a business to help their family financially.

● **Provide Products Not available Elsewhere:-**

The saying necessity is the mother of invention applies to the beginning of many small firms. In fact most American economic development has resulted from innovation born in a small firm. Relative to the number of peoples employed small firms produce two & a half times as many new ideas & products as a large firms. The first airconditioner, airplane, automobile, camera resulted from the creativity found in small business companies.

(b) Achieving Business Objectives:-

One of the most important function any business owner must perform is setting objectives which are the end toward which all the activities of the company should be aimed.

Among the objective that are important to a business are service, profit, social and growth objectives.

• Service Objective:-

The objective of a business is to serve customers by producing & selling goods or service (or the satisfaction associated with them) at a cost that will ensure a fair price to the consumer & adequate profits for the owner. Thus a person who aspires to operate a small business set service as the primary objective, but seek to make a profit as a natural consequence.

• Profit objective :-

Profit is the revenue received by a business in excess of the expense paid.

we expect a private business to receive a profit from its operation because profit is acceptable in a free-enterprise economy & is considered to be in public interest. the reward of profit is taking risk

Social objective :-

Successful small business must have social objective which means helping various group in the community including customers, employees, suppliers, the government & the community itself. Profit and social objective are not necessarily incompatible.

Growth Objective :-

owner of small firms should be concerned with growth & should select a growth objective which will depend on answer to question such as will I be satisfied for my business to remain small? Do I want to grow & challenge large firm? Do I seek to maximize profit?